

ProfitLens

Ecommerce Profitability & Growth Dashboard

Analysis Report

Reporting period	FY2024 - 2025 (full history)
Net Sales	€637K
Contribution Margin	€128K (20.1% of Net Sales)
Markets covered	Germany, Poland, Baltic & Nordic region
Prepared for	ProfitLens Online Shop
Created by	Rita Mahato

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1. Executive Summary

ProfitLens tracks profitability from gross sales down to contribution margin across products, markets, channels, promotions, and customer segments. Across the full reporting period, the business generated €637K in net sales and €128K in contribution margin (20.1%), with product cost alone consuming 60.3% of net sales. The headline finding: overall profitability is healthy, but it is highly uneven — concentrated in Beauty, in owned/organic channels, and in loyal repeat customers, while Electronics, heavy discount promotions, and several carrier/market combinations are quietly eroding margin.

€637K Net Sales	€128K Contribution Margin	20.1% CM %	60.3% COGS %	9.8% Discount Rate %
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Top-line takeaways

- **Beauty is the profit engine.** Fragrance, Haircare and Skincare each post €15-20K contribution margin with margin-per-unit near €18-19 — well above every other category.
- **Electronics is the weak link at every level.** It carries the thinnest contribution margin of any category (product cost eats 80%+ of its net sales) and several individual SKUs are outright loss-making.
- **Owned commerce (Website/App) and Organic Search outperform paid acquisition.** Paid Social drives the most customers but the lowest value per customer; Organic Search delivers similar volume at roughly double the margin.
- **Loyal and Growth customers, not VIPs, generate the most profit.** Together they contribute 55% of total contribution margin — more than the VIP segment, whose high spend does not translate into proportionate profitability.
- **Deep-discount promotions (Clearance 35%, Weekend Flash 25%, Holiday Event 20%) win volume but destroy margin,** while running no promotion or shallow offers (Bundle & Save, Loyalty 10%) protects profit.
- **Returns are a fit/quality problem, not a delivery problem.** 81% of €102.9K in return-related losses trace back to fit/preference and product-quality issues; only 1.8% is caused by fulfillment errors.
- **Fulfillment spend is not buying reliability.** The most expensive carrier (DHL) is not the most on-time; the cheapest carrier (Omniva) has the best on-time rate.

2. Revenue & Margin Bridge

Gross sales to net sales

Gross sales of €0.78M are reduced by refunds (–€0.07M) and discounts (–€0.08M), landing at €0.64M in net sales — a combined leakage of about 18% of gross sales before any cost of goods or operating expense is applied.

Stage	Amount	Note
Gross Sales	€0.78M	Starting point
Refund	–€0.07M	9% of gross sales
Discount	–€0.08M	10% of gross sales
Net Sales	€0.64M	Total after deductions

Net sales to contribution margin

From €0.64M net sales, shipping revenue adds back €0.02M before six cost buckets are deducted. Product cost is by far the largest drag, removing €0.38M on its own — more than five times the next-largest cost (shipping, at –€0.07M). The result is a contribution margin of €0.13M (20.1%).

Cost bucket	Impact	% of Net Sales
Shipping Revenue	+€0.02M	+3%
Return Processing	≈€0.00M	~0%
Fulfillment Cost	–€0.02M	–3%
Payment Fee	–€0.03M	–5%
Marketing Cost	–€0.03M	–5%
Shipping Cost	–€0.07M	–11%
Product Cost	–€0.38M	–59%
Contribution Margin	€0.13M	20.1%

Where margin is eroding fastest

Electronics stands apart from every other category: product cost consumes over 80% of its net sales, leaving the thinnest contribution margin of any category despite a mid-pack discount rate. Beauty, by contrast, keeps COGS near 33% and posts the highest CM% (~48%). Home & Living also runs a low CM% (~20%) on a high COGS ratio (~52%), making it a second category worth monitoring.

Category	CM %	COGS %	Discount Rate %
Beauty	~48%	~33%	~8%
Fashion	~26%	~48%	~14%
Sports & Outdoors	~23%	~58%	~10%

Category	CM %	COGS %	Discount Rate %
Home & Living	~20%	~52%	~14%
Electronics	~5%	80%+	~11%

3. Growth Drivers — Products

Contribution margin and margin-per-unit both follow the same ranking across every subcategory: Beauty leads, Electronics trails. This consistency — the pattern holds at both the total-margin and per-unit level — indicates the gap is structural (cost/pricing), not just a volume effect.

Category	Subcategory	Contribution Margin	Margin / Unit (€)
Beauty	Skincare	~€16K	18.9
Beauty	Haircare	~€15K	18.7
Beauty	Fragrance	~€15K	18.0
Sports & Outdoors	Fitness	~€9K	16.0
Sports & Outdoors	Cycling	~€9K	15.9
Sports & Outdoors	Hiking	~€9K	14.4
Fashion	Activewear	~€9K	12.5
Fashion	Footwear	~€9K	12.3
Fashion	Outerwear	~€9K	12.0
Home & Living	Decor	~€6K	10.3
Home & Living	Kitchen	~€6K	10.2
Home & Living	Organization	~€6K	9.6
Electronics	Audio	~€2K	3.0
Electronics	Smart Home	~€2K	2.9
Electronics	Wearables	~€2K	1.9

Loss-making SKUs to review

Three Electronics products currently post a *negative* contribution margin — each unit sold loses money once allocated costs are applied:

Product	CM %	Contribution Margin	Return Rate %
Tech Smart Home Plus	-2.9%	-€595	8.33%
Tech Audio Essential	-2.2%	-€197	8.59%
Tech Smart Home Elite	-0.9%	-€180	12.24%

By contrast, Tech Audio Pro is the strongest Electronics performer (CM 4.0%, +€1,079 contribution margin), suggesting the issue is isolated to specific SKUs rather than the whole subcategory.

4. Growth Drivers — Markets & Channels

Geographic performance

Western and Nordic markets lead on both scale and efficiency; Baltic and Polish markets lag on both dimensions at once, which is the more concerning pattern (a market that is merely small but efficient, or large but thin-margin, is less urgent than one that is weak on both).

Country	Category	Net Sales	% of Net Sales	COGS %	CM %
Poland	Electronics	€25,880	43.3%	90.1%	−5.0%
Germany	Electronics	€26,396	43.6%	78.7%	6.8%
Poland	Home & Living	€10,811	18.1%	60.2%	15.1%
Poland	Sports & Outdoors	€9,897	16.5%	67.2%	16.0%
Germany	Sports & Outdoors	€7,111	11.8%	60.3%	22.1%
Poland	Fashion	€5,139	8.6%	53.4%	24.2%
Germany	Fashion	€11,833	19.6%	47.2%	30.7%
Poland	Beauty	€8,078	13.5%	37.6%	45.4%
Germany	Beauty	€7,456	12.3%	31.8%	52.3%

Poland-Electronics is the single worst country/category combination in the data: it is the largest Poland line by net sales (43.3% of Poland's net sales) yet runs a negative contribution margin (−5.0%) on a 90.1% COGS ratio — the business is losing money on its biggest Polish product line.

Channel performance

Of €106K in total contribution margin flowing through channels, Owned commerce (Website/Mobile App) and Marketplace each contribute roughly €13K, while Social commerce trails at €8K — despite typically requiring the heaviest paid promotion to drive traffic.

- **Paid Social** drives the highest customer volume (~500) but the lowest contribution margin per customer.
- **Organic Search** delivers nearly the same customer volume (~450) at roughly double the margin per customer of Paid Social — the single best volume-to-value channel in the mix.
- **Email/CRM and Direct** generate the highest value per customer, though at lower volume — ideal for retention and repeat-purchase campaigns rather than new-customer acquisition.

5. Growth Drivers — Promotions

Plotting each campaign's discount depth against its margin impact reveals a clear threshold: campaigns under roughly 15% discount depth protect or grow margin, while campaigns at 20% discount or deeper consistently produce a negative margin impact — even though they are often the largest campaigns by net sales (bubble size).

Campaign	Discount Depth	Margin Impact	Relative Net Sales
No promotion	0%	Highest (positive)	Large
Bundle & Save	~5%	Positive	Medium
Loyalty	10%	Positive	Medium
VIP Private Sale	12%	Positive	Small
Welcome / Summer Event	15%	Positive, smaller	Small
Holiday Event	20%	Negative	Medium
Weekend Flash	25%	Negative	Large
Clearance	35%	Most negative	Largest

Clearance (35% off) and Weekend Flash (25% off) are the two largest promotional campaigns by net sales, which means their margin damage is amplified by volume — they are not small experiments, they are major, recurring drains on contribution margin.

6. Customer & Cohort Performance

Segment profitability

Loyal and Growth customers together generate 55% of total contribution margin — more than the VIP segment, whose higher spend does not convert into proportionate profitability. This suggests VIP status (likely spend-based) and true profitability are not the same thing, and loyalty/retention programs may be a better profit lever than VIP-tier acquisition.

Segment	Contribution Margin	Share of Total CM (approx.)
Loyal	€36K	28%
Growth	€34K	27%
VIP	€24K	19%
New	€19K	15%
At Risk	€10K	8%
Deal Seeker	€5K	4%

Retention drop-off

Average contribution margin per customer holds relatively steady over the customer lifecycle, but the number of active customers falls sharply — the steepest drop occurs within the first two months after first purchase, falling from roughly 2,000 active customers at month 0 to under 500 by month 2. Since per-customer value doesn't decay, the profit opportunity is squarely in retention, not in reactivating value from lapsed customers.

Channel-to-customer value

This reinforces the channel finding in Section 4: Paid Social's high customer volume comes at a profitability cost, while Organic Search and owned channels (Email/CRM, Direct) bring in fewer but meaningfully more valuable customers.

7. Returns Analysis

Total return-related loss of €143.97K is well under the €550.72K target loss ceiling (73.9% better than target) — returns are currently within an acceptable range overall, but the underlying drivers point to specific, fixable problems rather than random variation.

Why customers return items

Of €102.9K in categorized return loss, 81% is attributable to fit/preference (44.4%) and product quality (36.9%) — causes rooted in the product itself, not in delivery. Only 1.8% of loss traces to fulfillment issues, meaning operational fixes (packaging, carriers, warehouse accuracy) will have limited impact on the return-loss total; the bigger lever is product description accuracy, sizing guidance, and quality control.

Return Reason	Share of Return Loss
Fit / preference	44.4%
Product quality	36.9%
Expectation gap	16.9%
Fulfillment issue	1.8%

Where the loss concentrates

Fashion (€39K) and Electronics (€31K) together account for 67% of total return loss. Fashion also has by far the highest return rate of any category (~20%) alongside high category margin, while Electronics combines a lower return rate with the thinnest margins — meaning even modest returns hurt Electronics disproportionately.

Category	Return Loss
Fashion	€39K
Electronics	€31K
Sports & Outdoors	€16K
Home & Living	€13K
Beauty	€5K

Returns by customer segment

Return rate peaks among At Risk (12.6%) and Deal Seeker (11.7%) customers — price-sensitive, less-satisfied buyers — rather than among New customers (9.4%), which is a signal of dissatisfaction and churn risk more than of onboarding friction. VIP customers have the lowest return rate (8.0%).

8. Fulfillment & Inventory

3.4% Stockout Rate	€24.4K Total Lost Sales Value	4.3% Cancelled Order Rate
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Stockouts are directly costing an estimated €24.4K in lost sales, and nearly 1 in 25 orders is cancelled — both worth monitoring alongside the carrier analysis below.

Carrier cost vs. reliability

Fulfillment spend and on-time delivery are not correlated. DHL is by far the most expensive carrier (€7.4K) yet delivers only a mid-pack 94.1% on-time rate. Omniva, the cheapest carrier (€1.7K), has the best on-time performance (96.7%). GLS is both inexpensive and the least reliable (84.0% on-time) — the carrier mix currently rewards neither low cost nor high reliability consistently.

Carrier	Fulfillment Cost	On-Time %
DHL	€7.4K	94.1%
Local carrier	€3.4K	90.0%
DPD	€2.3K	95.3%
GLS	€2.2K	84.0%
Omniva	€1.7K	96.7%

Reallocating volume away from DHL and GLS toward DPD and Omniva could plausibly improve on-time delivery while reducing fulfillment spend — a rare combination worth validating with a controlled test.

9. Key Recommendations

1. Fix or delist loss-making Electronics SKUs

Investigate Tech Smart Home Plus, Tech Audio Essential and Tech Smart Home Elite (all CM-negative). Re-price, renegotiate cost, or discontinue if margin cannot be restored.

2. Resolve Poland-Electronics specifically

This is the single worst country/category line — large volume at a negative 5.0% margin on 90.1% COGS. Review sourcing cost, local pricing, and promotional depth applied to this line.

3. Cap discount depth on promotional campaigns

Shift budget away from Clearance (35%) and Weekend Flash (25%), which are both large and margin-negative, toward Bundle & Save, Loyalty, and VIP Private Sale style offers ($\leq 12\%$ discount) that protect margin.

4. Reallocate acquisition spend toward Organic Search and owned channels

Organic Search matches Paid Social's volume at roughly double the margin per customer. Treat Paid Social as a volume/awareness channel, not a profitability channel.

5. Prioritize retention over VIP-tier acquisition

Loyal and Growth segments outperform VIP on total contribution margin. Invest in lifecycle/retention programs targeting the steep month 0-2 drop-off in active customers.

6. Address returns through product, not fulfillment

81% of return loss is fit/preference and quality-driven. Improve sizing guides and product descriptions in Fashion, and tighten quality control in Electronics, rather than investing further in fulfillment fixes.

7. Re-balance the carrier mix

Shift volume from DHL and GLS toward DPD and Omniva to pursue both lower fulfillment cost and higher on-time delivery simultaneously.

8. Investigate At Risk and Deal Seeker return behavior

Their above-average return rates likely signal dissatisfaction and churn risk rather than normal browsing behavior — worth a targeted customer-experience review.

10. Appendix — Data Model

The dashboard is built on a star schema centered on a single fact table, FactOrderLine, which captures order-line-level measures (gross sales, net sales, discounts, contribution margin/revenue, fulfillment cost, delivery timeliness, and returns) alongside allocated marketing cost. It connects to nine dimension tables covering products, customers, geography, dates, sales channels, promotions, fulfillment, return reasons, and customer cohort age — enabling the profitability cuts shown throughout this report.

Dimension Table	Purpose
DimProduct	Category, Department, Price, Seasonality, ReturnRisk
DimCustomer	CustomerKey, CustomerLabel, CustomerSegment, LoyaltyTier, AcquisitionChannel, Cohort month/quarter/year,
DimGeography	GeographyKey, Region, Country, City, , ShippingCostIndex
DimDate	Calendar attributes (day, month, quarter, day type)
DimSalesChannel	ChannelGroup, SalesChannel, DeviceType, PaymentFeeRate
DimPromotion	PromotionObjective, Campaign, DiscountType/Rate, FreeShippingFlag, TrafficQuality
DimFulfillment	Carrier, FulfillmentCenter, ServiceLevel, CostIndex
DimReturnReason	ReturnReason and ReasonGroup, InventoryRecoveryRate
DimCohortAge	MonthsSinceFirstPurchase, LifecycleStage

This star-schema design allows any measure in FactOrderLine to be sliced by any combination of product, customer, geography, time, channel, promotion, fulfillment, return reason, or cohort age — which is what powers the Executive Overview, Growth Drivers, and Customers & Operations pages referenced throughout this report.